held under lease. The real effect of this situation was to place a substantial fixed obligation ahead of Interstate Department Stores Preferred which did not exist in the case of Outlet. In the chain-store field a similar observation would apply to a comparison of J. C. Penney Preferred and S. H. Kress Preferred in 1932; for the latter company owned more than half of its store properties, while nearly all the Penney locations were leased.

Lease Liabilities Generally Overlooked. The question of liability under long-term leases received very little attention from the financial world until its significance was brought home rudely in 1931 and 1932, when the high level of rentals assumed in the preceding boom years proved intolerably burdensome to many merchandising companies.

Example: The influence of this factor upon a supposed investment security is shown with striking force in the case of United Cigar Stores Preferred. This issue, and its predecessor, had for many years shown every sign of stability and had sold accordingly at a consistently high level. For 1928 the company reported "no funded debt" and earnings equal to about seven times the preferred dividend. Yet so crushing were the liabilities under its long-term leases (and to carry properties acquired by subsidiaries), that in 1932 bankruptcy was resorted to and the preferred stock was menaced with extinction.

Such Liabilities Complicated Analysis. It must be admitted that in the case of companies where the rental factor is important, its obtrusion has badly complicated the whole question of bond or preferred stock analysis. Fortunately the investor now has some data as to the extent of such leasehold obligations, since they are now required to be summarized in registration statements filed with the S.E.C., and the actual rent payments must be stated each year (on Form 10-K).[5] But the problem remains whether or not these rentals should be treated, in whole or in part, as the equivalent of fixed charges. To some extent, certainly, they are identical rather with fixed "overhead"—*e.g.*, depreciation, taxes, general expense—which it has not been found feasible to add in with bond interest for the purpose of figuring a margin of safety. One type of solution is obvious: If the company meets the earnings test, even after adding rents paid to bond interest, the rent situation need not worry the investor.

[5] The S.E.C. forms group "rents and royalties" together, but in the typical case this entire item relates to rents and can be treated as such.